



Confidence Petroleum India (CONFIPET)

Horizon: Swing (1-4 wk) · Bias tested: Neutral · As of 03 Jun 2026

AVOID / WAIT

CMP ₹69.8	52W H / L ₹70.2 / 27.0	MKT CAP ₹2,319 cr	P/E (TTM) VS SECTOR 25.0 · rich	ROE / ROCE 7.98% / 9.23%
PROMOTER (Δ, PLEDGE) 55.9% · pledge N/A	FII / DII Δ 0.48% / ~0%	BETA N/A	ADV N/A	NET DEBT ≈₹0.6k cr · D/E 0.51

⚡ PRIMARY CATALYST — THE REASON IT MOVES NOW

FY26 results (30 May) confirmed a ~50% revenue surge to ₹4,705 cr off the GoGas clean-energy ramp (Auto-LPG + CNG to a 500-station target), but a modified audit opinion and margin compression to 7.84% sit against a stock pinned at its 52-week high.

CATEGORY	QUANTIFIED IMPACT	PROBABILITY	WINDOW
Financial inflection / Growth ramp	Rev +50% YoY (₹3,146→4,705 cr); Q4 PAT +37.5% YoY to ₹31.4 cr; OPM 13.3%→7.84%	M volume real, margin uncertain	Reported; next read Q1 FY27 (Aug 2026) + AGM

Priced in? Largely — stock +~16% into results and parked at the ₹70.2 high; 50% topline growth and clean-energy optionality are in the price at P/E 25 / P/B 1.6×. What is NOT priced: margin recovery above 10% and a clean audit. · Source: Business Standard / Screener / MarketsMojo result analysis, 30 May–01 Jun 2026

BULL

₹82-85

Clean break above ₹70.2 on station-add news + margin stabilises; +18-22%.

BASE

₹62-70

Digests results near highs; range-bound as audit/margin overhang caps upside.

BEAR

₹52-55

Audit-qualification + margin worry triggers profit-taking to breakout zone; -21 to -25%.

Genuine 30%+ structural growth engine in India's clean-fuel transition, but the easy money was made into the print — at a 52-week high, P/E 25 on a falling ~8% ROE, with shrinking margins and a modified audit opinion, the risk/reward for a fresh swing entry is unattractive until it pulls back or the margin/audit overhang clears.

CATALYST LADDER — SECONDARY TRIGGERS, RANKED BY IMPACT × PROBABILITY

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Capex / Demand	CNG station roll-out 45 → 500 target (GAIL tie-ups; GoGas)	Multi-year volume + mix shift; key topline driver	M	FY27-FY29	Autocar Pro / company, 2025-26
Demand-side	Auto-LPG network expansion (now 287+ ALDS; 8 new stations added)	Steady volume growth in core ALDS franchise	M	Ongoing, monthly	Autocar Professional, 2026
Product	Composite (fibre-body) LPG cylinder scale-up; H2/EV-adjacent push	Higher-margin product mix; optionality, not yet quantified	L	FY27+	Company materials, 2025-26
Financial	Interest cost dropping (₹24.97 → 13.63 cr QoQ; OP/interest 6.99×)	Lower finance cost cushions PAT; deleveraging	M	Reported Q4 FY26	MarketsMojo, 31 May 2026
Capital action	10% final dividend (₹0.10/sh, FV ₹1) recommended	Negligible — yield ~0.14%, payout ~3%	H	AGM approval (~Sep 2026)	Board / Screener, 30 May 2026
Ownership	Promoter 55.9% steady; FII a thin 0.48%, DII ~0%	No institutional sponsorship to drive re-rating yet	L	Mar-2026 pattern	Trendlyne / Screener

WHAT THE STREET IS PRICING IN

Effectively **no formal sell-side coverage** — AlphaSpread shows just 1 analyst with **no published revenue/EPS estimates**; consensus FY27/FY28 EPS and target range = **N/A**. A DCF-style intrinsic model floats ₹145 (model, **not consensus** — discount heavily). **In the price**: 50% topline growth and clean-energy optionality (P/E 25, P/B ~1.6×). **Not in the price**: margin recovery above 10%, a clean audit, and any institutional sponsorship. Low coverage + thin float = sentiment-driven, gap-prone.

RISKS TO WATCH

RISK	TRIGGER	DOWNSIDE	PROB
Modified audit opinion (governance)	Annual report detail on the qualification	-15 to -25%	M
Structural margin compression	OPM 13.3% (FY24) → 10.3% → 7.84% (Q4)	-15 to -20%	H
Valuation de-rating	P/E 25 on ~8% ROE, at 52W high	-20%	M
Thin liquidity / no coverage	Smallcap, FII 0.48% — sharp swings	qualitative	M
Input cost / regulatory (gas pricing)	LPG/CNG sourcing & policy shifts	-10 to -15%	M

KEY LEVELS & TRADE FRAME

Entry zone	₹60-63 (on pullback — don't chase 52W high)
Stop (below late-May base / ~50-DMA)	₹54 (approx — verify on chart)
Target 1 / Target 2	₹70 / ₹82
R:R · suggested size	~1.3:1 (T1) / ~3:1 (T2) · ≤1-1.5% cap

CATALYST CALENDAR

DATE	EVENT
Aug 2026	Q1 FY27 results — first margin read post-FY26
~Sep 2026	AGM + annual report (audit-qualification detail; dividend approval)
Ongoing	Monthly GoGas CNG / Auto-LPG station additions
FY27	CNG network build toward 500-station goal; composite-cylinder scale-up

AVOID / WAIT

Real structural grower in clean-fuel infra, but at a 52-week high on P/E 25 / ~8% ROE with compressing margins and a modified audit opinion, a fresh neutral-bias swing entry is poorly priced — wait for a pullback into ₹60-63. **Flips the call**: a clean audit + Q1 FY27 OPM recovery back above 10% (turns it into a BUY-the-dip), or a decisive volume break above ₹70.2 on rising delivery.

MPM · SCREEN — ANALYZE — INVEST

For information only. Not investment advice or a solicitation. CONFIPET is a low-coverage smallcap; figures from third-party vendors may be stale or revised — verify against the company's filed FY26 annual report and exchange disclosures before acting.

Sources: Business Standard (net profit +37.5%, 01 Jun 2026); MarketsMojo result analysis (margins, interest cover, 31 May 2026); Screener.in (CMP ₹69.8, mkt cap ₹2,319 cr, P/E 25, ROE 7.98%, ROCE 9.23%, BV ₹42.7, EPS ₹2.80, sales ₹4,705 cr, 10% final dividend, modified audit opinion, accessed 03 Jun 2026); Trendlyne (shareholding); Autocar Professional (Auto-LPG/CNG network, 2026); AlphaSpread (coverage/intrinsic value). Discarded stale read: late-May vendor CMP ₹59-60.6 / 52W ₹67.08-28.06 (superseded by Screener's internally-consistent ₹69.8 / ₹70.2-27.0).

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